LoanBazaar®

Secure Distribution Venture Pvt. Ltd.

What Is Receivable Securitization ?

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Chapter 1: Product Overview & Core Philosophy of Receivable Securitization

Definitional Architecture: Receivable Securitization is a structured financial process wherein an originating institution—such as a bank, Non-Banking Financial Company (NBFC), housing finance company (HFC), or corporate enterprise—pools a homogenous portfolio of illiquid, income-generating credit claims (such as auto loans, residential mortgages, microfinance loans, SME loans, or trade receivables) and sells them to a bankruptcy-remote Special Purpose Vehicle (SPV) Trust. The SPV Trust finances this asset purchase by issuing marketable debt instruments, known as Pass-Through Certificates (PTCs) or Asset-Backed Securities (ABS), to institutional investors in the capital market.

The Core Financial Paradigm Shift: Traditional corporate borrowing relies on the holistic creditworthiness, leverage capacity, and unencumbered balance sheet assets of the parent company. In contrast, Receivable Securitization isolates specific financial assets from the originator's balance sheet through a legally validated 'True Sale'. The credit rating and debt servicing of the issued PTCs depend strictly on the cash-flow performance, credit quality, and over-collateralization of the underlying asset pool, rather than the corporate credit rating of the originator. This allows an originator rated 'BBB' or 'A' to originate securitised debt instruments rated 'AAA' or 'AA+', significantly lowering borrowing costs and expanding liquidity.

Historical Evolution in Indian Wholesale Banking: The market for structured securitisation in India has evolved dramatically over the last two decades. Introduced initially through informal bilateral assignments in the late 1990s, the market achieved regulatory maturity following the enactment of the SARFAESI Act 2002 and successive guidelines issued by the Reserve Bank of India (RBI). Today, governed primarily by the RBI Master Direction on Securitisation of Standard Assets, 2021 (and its 2025 draft revisions), securitisation serves as a multi-trillion rupee liquidity pillar for the Indian financial system, allowing NBFCs to re-balance Asset-

Comparison Matrix: Securitization vs. Direct Term Debt vs. Direct Assignment

Structural Dimension	Receivable Securitization (PTC)	On-Balance Sheet Term Debt	Direct Assignment (DA)
Legal Vehicle	Bankruptcy-Remote SPV Trust	Direct Parent Balance Sheet	Bilateral True Sale (No SPV)

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Balance Sheet Treatment	Off-Balance Sheet Derecognition (u/s Ind AS 109)	On-Balance Sheet Financial Liability	Off-Balance Sheet Derecognition
Credit Rating Dependency	Stand-Alone Pool Rating (Up to 'AAA')	Originator Corporate Credit Rating	Purchasing Bank Risk Weight / Assessment

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Chapter 2: How Receivable Securitization Works: Structural Mechanics & Process Architecture

The 6-Phase Execution Workflow: The execution of a Receivable Securitization transaction follows a highly structured, multi-phase operational workflow involving specialized financial and legal intermediaries.

Phase 1: Pool Identification & Granularity Screening: The originator filters its loan book or receivables ledger to select a homogenous, well-seasoned pool of credit assets meeting strict eligibility criteria (e.g., zero delinquencies, minimum seasoning period, geographic dispersion).

Phase 2: Independent Due Diligence & Portfolio Audit: Empanelled chartered accounting firms and credit rating agencies perform 100% sample audits, validating loan contracts, KYC compliance, repayment histories, and security perfection.

Phase 3: SPV Settlement & True Sale Execution: The originator creates a bankruptcy-remote SPV Trust under the Indian Trusts Act, 1882, managed by a SEBI-registered Independent Debenture Trustee. A Deed of Assignment legally conveys the underlying receivables to the SPV.

Phase 4: Credit Enhancement & Tranching Design: The SPV structures the cash flow waterfall, creating Senior and Subordinated Pass-Through Certificate (PTC) tranches and depositing First Loss Credit Enhancement (FLCE) reserves in bank FDs.

Phase 5: Rating Assignment & Primary Placement: SEBI-accredited rating agencies evaluate the pool's loss expectations and assign credit ratings to the Senior PTCs, which are then placed with institutional investors (banks, AIFs, mutual funds).

Phase 6: Servicing, Collection & Cash Flow Distribution: The originator acts as the appointed Servicer, collecting monthly EMIs from obligors and remitting them into a lender-monitored Escrow TRA account for distribution by the Trustee.

The Priority Cash Flow Waterfall Architecture

Escrow TRA Mechanics: All collections from obligors are deposited directly into a designated Trust & Retention Account (TRA) / Escrow Account held with an independent escrow bank. The Debenture Trustee distributes monthly cash flows strictly according to the pre-agreed Priority of Payments:

> **THE MASTER TRUST & RETENTION ACCOUNT (TRA) WATERFALL**
> *Priority 1: Statutory Taxes & Government Dues*
> *Priority 2: Trustee Fees, Escrow Agent Fees, Rating Agency Annual Fees & Servicing Costs*
> *Priority 3: Scheduled Interest Payments to Class A Senior PTC Holders*
> *Priority 4: Scheduled Principal Amortisation to Class A Senior PTC Holders*
> *Priority 5: Replenishment of Drawn Credit Enhancements (FLCE / SLCE Reserves)*

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> *Priority 6: Cash Sweep / Principal Acceleration during Trigger Events*
> *Priority 7: Scheduled Coupon & Principal Payments to Class B Subordinated PTC Holders*
> *Priority 8: Residual Excess Interest Spread (EIS) Released to Originator*

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Chapter 3: Tranching, Pass-Through Certificates (PTCs) & Credit Enhancements

Structural Tranching Dynamics: To cater to institutional investors with differing risk-return profiles, securitisation transactions utilize Credit Tranching. Rather than issuing a single uniform debt note, the SPV issues multiple classes of Pass-Through Certificates (PTCs):

Class A Senior PTCs: Class A Senior PTCs hold priority claims on all monthly principal and interest cash flows. They carry low credit risk, benefit from full subordination protections, and routinely achieve 'CRISIL AAA(SO)' or 'ICRA AA+(SO)' ratings. Institutional investors such as commercial banks, insurance companies, and pension funds exclusively subscribe to Senior PTCs.

Class B Subordinated PTCs: Class B Subordinated (Equity / Mezzanine) PTCs absorb the initial credit defaults from the underlying asset pool. No principal or return is paid to Class B holders until Class A obligations are fully satisfied. Subordinated PTCs are typically retained by the originator or purchased by high-yield private credit funds.

Credit Enhancement Mechanisms: Internal vs. External

Dual Layer Loss Protection: Credit Enhancements provide essential loss protection, insulating Senior PTC investors from obligor default risks.

1. Over-Collateralisation (OC): The total principal value of the underlying pool assets transferred to the SPV exceeds the face value of the Senior PTCs issued (e.g., transferring INR 115 Cr of assets to issue INR 100 Cr of Senior PTCs). The 15% equity cushion absorbs defaults first.

2. Excess Interest Spread (EIS): The weighted average interest rate charged on the underlying loans (e.g., 16.0% p.a. on auto loans) exceeds the coupon payable on Senior PTCs (e.g., 8.5% p.a.). The net interest spread of 7.5% p.a. accumulates in the TRA to cover monthly shortfalls.

3. First Loss Credit Enhancement (FLCE): An external reserve provided by the originator—typically in the form of a Lien-Marked Fixed Deposit with a scheduled commercial bank or a Bank Guarantee—equal to 5.0% to 10.0% of pool principal.

4. Second Loss Credit Enhancement (SLCE): A secondary backup credit facility drawn only after FLCE reserves are entirely exhausted, providing additional structural protection.

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Chapter 4: Common Eligibility Criteria & Underwriting Benchmarks

Institutional Pool Selection Benchmarks: To ensure high pool quality and regulatory compliance under RBI Master Directions, securitised asset pools must satisfy strict quantitative and qualitative underwriting filters prior to transfer.

Underwriting Parameter	Minimum Regulatory / Market Benchmark	Institutional Ideal Standard
Minimum Holding Period (MHP)	3 Months (Loans <2 Yr) / 6 Months (Loans >2 Yr)	6 to 12 Months Seasoning
Minimum Retention Requirement (MRR)	5% (Loans <24 M) / 10% (Loans >24 M)	10% to 15% Retained Risk Share
Overdue Status at Cut-Off	Zero Overdues (0 DPD Mandatory)	Zero DPD in Last 12 Months
Single Obligor Concentration	Capped at Maximum 1.0% to 2.0% of Pool	Capped at Maximum 0.25% (High Granularity)
Geographic Concentration	Top State Capped at Maximum 25% to 30%	Top State Capped at <15% of Total Pool

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Chapter 5: Security Architecture, Escrow TRA & Legal Documentation Suite

Legal Documentation Hierarchy: The enforceability and bankruptcy remoteness of a securitisation deal depend entirely on a watertight legal documentation suite executed under Indian contract, trust, and property laws.

Deed of Assignment: The primary conveyance instrument transferring legal title, underlying cash flow rights, and security interests from the originator to the SPV Trust under Section 5 of the Transfer of Property Act, 1882.

Trust Deed & SPV Settlement Agreement: Settles the SPV Trust under the Indian Trusts Act, 1882, appointing an independent SEBI-registered Trustee and defining fiduciary duties owed to PTC holders.

Servicing & Collection Agreement: Appoints the originator as the collection agent, establishing strict operational SLAs, daily cash transfer timelines, and replacement servicer triggers.

Credit Enhancement Agreement: Pledges the First Loss Lien-Marked Fixed Deposit or Bank Guarantee to the Trustee for shortfall drawdowns.

Escrow & TRA Agreement: Tripartite agreement establishing the lender-controlled Escrow Account and mandating the priority cash flow waterfall.

ROC Form CHG-1 & CERSAI Registration: Mandatory charge filing with the Registrar of Companies (ROC) within 30 days under Section 77 of the Companies Act, 2013, and registration on the CERSAI security portal.

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Chapter 6: Indicative Tenure, Pricing Framework & Yield Dynamics

Tenure Spectrum Across Asset Classes: The indicative tenure of Pass-Through Certificates matches the underlying amortisation schedule of the asset pool. Microfinance and trade receivable PTCs span 6 to 18 months; vehicle and SME loan PTCs span 24 to 48 months; while Residential Mortgage-Backed Securities (RMBS) span 60 to 120+ months.

Pricing & Yield Dynamics: Senior PTC pricing is benchmarked against sovereign yield curves (such as 91-Day T-Bills or 10-Year G-Secs) plus a credit risk spread. AAA-rated Senior PTCs typically price at 50 to 120 basis points over government benchmarks (e.g., 7.50% to 8.50% p.a. effective yield). Subordinated PTCs offer high-yield returns ranging from 14.0% to 18.0% p.a. to compensate for first-loss default risk.

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Chapter 7: Suitable Industries, Business Profiles & Use Cases

Target Sector Applicability: Receivable Securitization is uniquely suited for asset-heavy lending institutions and corporate entities with recurring, predictable cash-flow channels:

Non-Banking Financial Companies (NBFCs) & HFCs: Provides non-dilutive liquidity, lowers cost of funds, resolves Asset-Liability Mismatches (ALM), and offloads credit risk.

Commercial Banks: Allows purchasing Senior PTCs originating from housing, agriculture, or MSME portfolios to fulfill statutory Priority Sector Lending (PSL) requirements.

Auto & Equipment Manufacturers (Captive Financiers): Monetizes dealer showroom sales and retail vehicle financing loans to fund manufacturing capacity.

Corporate Supply Chains & B2B Marketplaces: Securitises trade receivables books, reducing Days Sales Outstanding (DSO) from 90 days to 1 day.

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Chapter 8: Key Advantages & Structural Limitations

Strategic Trade-Off Analysis: Securitization offers distinct strategic benefits while presenting specific operational constraints:

Key Advantages of Securitization	Structural Limitations & Risks
Lower Cost of Capital (AAA PTCs yield ~8.0% vs ~11% NBFC debt)	High Structuring & Upfront Legal Costs (0.50% - 1.0% of deal value)
Off-Balance Sheet Derecognition (Improves Debt/Equity ratios)	Strict RBI Minimum Holding Period (MHP) & Retention (MRR) Rules
ALM Optimization (Matching long-term assets with PTC tenure)	Commingling Risk if Servicer fails to deposit daily collections
Access to Capital Markets (Tapping pension/mutual fund pools)	Negative Carry on Un-utilized First Loss Credit Enhancement FDs

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Chapter 9: Comprehensive Real-World Case Study (INR 500 Crore Asset-Backed Securitisation)

Originator Profile & Transaction Motivation: Apex Commercial Vehicle Finance Limited (ACVFL) is a mid-sized NBFC operating in Western India with an audited loan book of INR 2,500 Crores. ACVFL's corporate rating is 'BBB+ Stable'. High bank borrowing costs (11.25% p.a.) were restricting its margin growth. To raise growth capital at a lower cost, ACVFL decided to execute an Asset-Backed Securitisation (ABS) of its seasoned commercial vehicle loan portfolio.

Pool Composition & Selection Filters: ACVFL selected a granular pool of 12,500 commercial vehicle loans with a total outstanding principal balance of INR 500.00 Crores. The pool had an average seasoning of 9.5 months (well above the 6-month MHP requirement), zero overdues at cut-off, and an average yield of 15.50% p.a.

Transaction Structure & Tranching: ACVFL conveyed the pool to 'Apex CV Securitisation Trust I' managed by a SEBI-registered Trustee. The Trust issued two classes of Pass-Through Certificates (PTCs):
1. Class A1 Senior PTCs: INR 425.00 Crores (85.0% of pool value) @ 8.25% p.a. Fixed Coupon, rated 'CRISIL AAA(SO)'.
2. Class B Subordinated PTCs: INR 75.00 Crores (15.0% of pool value) retained by ACVFL as MRR.
3. First Loss Credit Enhancement (FLCE): Lien-marked fixed deposit of INR 25.00 Crores (5.0%) deposited by ACVFL.

3-Year Amortisation & Cash Flow Waterfall Model (INR Crores)

Year	Opening Pool	Gross Collections	Class A Debt Service	Class B Repayment	Excess Spread (EIS)
Year 1	500.00	225.00	185.00	10.00	30.00
Year 2	315.00	180.00	150.00	12.00	18.00
Year 3	165.00	185.00	122.00	53.00	10.00
Total	-	590.00	457.00	75.00	58.00

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Financial Outcome & Strategic Impact: By converting INR 500 Crores of illiquid vehicle loans into 'AAA' rated Senior PTCs, ACVFL lowered its borrowing cost from 11.25% p.a. to 8.25% p.a. (a 300 bps interest saving). ACVFL derecognized INR 425 Crores of assets off its balance sheet under Ind AS 109, reducing its Debt-to-Equity ratio from 4.2x to 2.8x while unlocking INR 425 Crores in fresh liquidity to originate new high-yielding retail loans.

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Chapter 10: Regulatory, Accounting, Tax & IBC 2016 Legal Framework

Comprehensive Legal & Regulatory Overview: Receivable Securitization operates under a highly detailed statutory and regulatory architecture in India:

RBI Securitisation Master Directions (2021 & 2025 Revisions): Mandates Minimum Holding Periods (3-6 months), Minimum Retention Requirements (5%-10%), 20% caps on retained credit enhancement, and prohibition of revolving asset securitisation.

Ind AS 109 Derecognition Accounting: Assets are derecognized from the balance sheet only if the transaction passes the 3-step test: (a) transfer of contractual cash flow rights, (b) pass-through evaluation, and (c) transfer of substantially all risks and rewards.

Income Tax Act, 1961 (Section 115UB & 36(1)(iii)): Section 115UB grants statutory tax pass-through status to SEBI-registered Category II AIF trusts. Originators deduct interest paid on PTC debt under Section 36(1)(iii).

Insolvency & Bankruptcy Code (IBC 2016) Bankruptcy Remoteness: Under Explanation (a) to Section 18 and Section 36(4)(a) of the IBC, assets held in trust by an SPV or legally assigned prior to insolvency are strictly excluded from the corporate debtor's liquidation estate. If the originator enters CIRP under Section 7, SPV cash flows remain completely unaffected by the Section 14 Moratorium.

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Chapter 11: Rookie Mastery Examination (15 High-Yield Scenario Test Q&As)

Instructions for Finance Candidates: This examination tests complete conceptual and practical understanding of Receivable Securitization. Master every question to ensure full proficiency.

Q1: What is the fundamental structural difference between Receivable Securitization and On-Balance Sheet Bank Borrowing?

A1: Securitization involves a legal 'True Sale' of credit assets to a bankruptcy-remote SPV Trust, removing assets off the balance sheet (Ind AS 109) and issuing PTCs backed strictly by pool cash flows. Bank borrowing adds a financial debt liability directly onto the parent corporate balance sheet.

Q2: Why does an SPV Trust achieve a 'CRISIL AAA(SO)' rating even if the originator is rated 'BBB'?

A2: Because the SPV is bankruptcy-remote and the rating evaluates pool cash-flow quality, granularity, and credit enhancements (over-collateralisation, FLCE), rather than the corporate solvency of the originator.

Q3: What are the RBI Minimum Holding Period (MHP) requirements for securitising loans?

A3: Loans with original maturity up to 2 years require a minimum 3-month MHP (or 3 bullet installments). Loans with maturity greater than 2 years require a minimum 6-month MHP prior to pool cut-off.

Q4: Explain the Minimum Retention Requirement (MRR) under RBI guidelines.

A4: MRR mandates that the originator retain a minimum economic interest in the pool (5% for loans maturity <24 months; 10% for loans maturity >=24 months) to ensure alignment of interest and prevent moral hazard.

Q5: How does Bankruptcy Remoteness protect PTC investors under the Insolvency and Bankruptcy Code (IBC) 2016?

A5: Under Sections 18 and 36(4) of the IBC, assets held in trust by an SPV or legally assigned prior to insolvency are explicitly excluded from the liquidation estate and are unaffected by the Section 14 CIRP Moratorium.

Q6: What is the 3-step derecognition test under Ind AS 109 for off-balance sheet accounting?

A6: (1) Contractual cash flow rights must be transferred; (2) Cash flows must pass through to investors without material delay; (3) Substantially all risks and rewards of ownership must be transferred.

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Q7: What is the purpose of First Loss Credit Enhancement (FLCE)?

A7: FLCE is a dedicated reserve (lien-marked fixed deposit or bank guarantee equal to 5%-10% of pool value) provided by the originator to absorb initial obligor default shortfalls before Senior PTCs incur losses.

Q8: Differentiate between Class A Senior PTCs and Class B Subordinated PTCs.

A8: Class A Senior PTCs hold priority right over all monthly cash flows and carry high credit ratings ('AAA'). Class B Subordinated PTCs absorb first losses, receive cash flows only after Class A is fully serviced, and carry higher yields.

Q9: What is Excess Interest Spread (EIS)?

A9: EIS is the positive difference between the weighted average interest rate collected from underlying obligors (e.g., 16%) and the coupon paid to Senior PTC holders (e.g., 8.5%). It serves as an internal credit enhancement.

Q10: Why are revolving credit lines (e.g., Credit Cards, Cash Credit) barred from standard securitisation in India?

A10: RBI Master Directions strictly require securitised asset pools to have fixed amortisation schedules and defined cash flow profiles, excluding revolving credit facilities.

Q11: What is commingling risk in securitisation, and how is it mitigated?

A11: Commingling risk occurs if the originator (acting as Servicer) mixes collected obligor payments with its own corporate funds. It is mitigated by mandating daily or 48-hour electronic transfers into a lender-monitored Escrow TRA account.

Q12: What statutory charge filings are mandatory for securitisation in India?

A12: Filing ROC Form CHG-1 within 30 days of execution under Section 77 of the Companies Act, 2013, and registering security creation on CERSAI.

Q13: How does securitisation assist commercial banks in meeting Priority Sector Lending (PSL) targets?

A13: Commercial banks purchase Senior PTCs originating from housing, agriculture, or MSME loan pools, which qualify as PSL-compliant assets under RBI guidelines.

Q14: Explain the reset of credit enhancement provisions under RBI Master Directions.

A14: Originators can reset/reduce credit enhancement reserves after the pool principal has amortised by at least 50%, provided the rating of the Senior PTCs remains intact.

Q15: What tax benefit does Section 115UB of the Income Tax Act provide for SPV Trusts?

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A15: Section 115UB provides full tax pass-through status to SEBI-registered trusts, ensuring income is taxed only in the hands of PTC investors rather than at the trust level.

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